Bharat Forge Limited

NSE: BHARATFORG | Industrials — Auto Components & Defence Forgings | Kalyani Group

ACCUMULATE

12m Price Target: ■2,050

Upside: ~18% from CMP ■1,740

Bharat Forge's defence pivot — ■11,100 Cr order book — unlocks a structural re-rating from auto cyclical to defence-industrial compounder.

1,740	**83,220**	**1,936**	**976**	**71.3x**
CMP (■)	Market Cap (■ Cr)	52-Wk High (■)	52-Wk Low (■)	P/E (TTM)
196	**8.88x**	**12.2%**	**11.6%**	**0.49%**
Book Value (■)	P/B	ROCE	ROE	Div. Yield
2.00	**44.07%**	**12.40%**	**34.08%**	**12 Months**
Face Value (■)	Promoter %	FII %	DII %	Horizon

Source: Screener.in (consolidated), data as of 09-Apr-2026. Forward estimates are the analyst's own and labelled (E).

2. INVESTMENT THESIS

#1

Defence Order Book Re-rating

Bharat Forge has built a defence order book of ■11,100 Cr (Q3 FY26) — nearly 73% of FY25 consolidated revenue — providing multi-year revenue visibility rarely seen in auto-component companies. New contracts including the 307-gun artillery order (Phase 1) will commence revenue recognition in Q4 FY26 and scale through FY27-28. This transforms the company from a cyclical auto forger into a secular defence-industrial compounder over a 24–36 month horizon.

#2

Margin Expansion from Premium Mix

Operating margins have expanded from 13% in FY23 to 18% in FY25, driven by the shift toward higher-margin defence, aerospace, and industrial verticals. Defence and aerospace products typically carry 25-35% EBITDA margins vs. 14-18% for auto forgings. As defence revenues scale toward ■3,000+ Cr annually by FY27E, blended OPM should cross 20%+ — a level not seen in the company's recent history — adding an earnings kicker on top of revenue growth.

#3

Export Resilience & EV Lightweighting

Bharat Forge derives ~50% of revenues from exports (US, Europe, China), spread across passenger cars, commercial vehicles, and industrials. The EV transition is actually accretive — lightweighting forged aluminium and advanced steel components for EVs command 15-25% price premiums over ICE equivalents. Kalyani Powertrain (EV subsidiary) is emerging as a new growth vector, and overseas facilities in Germany, Sweden, and the US provide a natural currency hedge on the export book.

Near-Term Catalyst (6–12 months):	Revenue recognition commencement on the ■6,800 Cr-plus artillery gun order expected from Q4 FY26, which will materially lift defence segment revenues and validate the order-to-revenue cycle for institutional investors.

Biggest Structural Risk:	A prolonged slowdown in North American and European commercial vehicle demand — which comprises ~30% of standalone revenues — combined with a delay in defence order execution due to supply chain or regulatory issues, could compress both revenue and margins simultaneously.

3. BUSINESS OVERVIEW

Simple Explanation

Think of Bharat Forge as the world's most advanced metal-bending factory. It takes raw steel or aluminium, heats it to extreme temperatures, and then smashes it into highly precise shapes — like crankshafts, axles, artillery barrels, or aerospace components. Just as a goldsmith turns raw gold into jewellery worth many times more, Bharat Forge converts commodity metal into high-value engineered parts that form the structural backbone of trucks, cars, fighter planes, and artillery guns.

Business Model & Revenue Mix

Bharat Forge operates India's largest and technologically most sophisticated forging complex at Mundhwa, Pune, along with facilities in Germany (CDP Bharat Forge), Sweden (Bharat Forge Kilsta), and the United States. The consolidated business spans three primary verticals: (1) Automotive — passenger vehicles and commercial vehicles, contributing ~55% of revenues; (2) Industrial & Aerospace — oil & gas, power, railways, aerospace, contributing ~20%; and (3) Defence — artillery, armoured vehicles, small arms, naval guns, contributing ~15% and growing rapidly. Export revenues represent approximately 48-52% of consolidated turnover, with key geographies being North America (~25%), Europe (~18%), and Rest of World (~7%).

Key Customers & Revenue Visibility

In the automotive space, Bharat Forge supplies to global OEMs including PACCAR, Daimler Trucks, Volkswagen Group, Ford, and Tata Motors. Customer concentration risk is moderate — no single customer exceeds 12-15% of revenues based on disclosed information. In defence, the primary customer is India's Ministry of Defence (MoD), through the Ordnance Factory Board and DRDO-backed contracts. The defence order book of ■11,100 Cr (Q3 FY26) provides approximately 18-24 months of execution visibility. Auto revenues are somewhat cyclical, linked to truck tonnage cycles, while defence revenues once contracted are largely non-cancellable.

Recent Strategic Developments (FY24–FY26)

Bharat Forge secured ■6,959 Cr of new business in FY25, with defence accounting for 70% of new wins. The 307-gun Dhanush artillery order represents the single largest defence contract in the company's history. Additionally, it is developing indigenous small arms (assault rifles, carbines), anti-drone systems, naval guns, and UAV propulsion systems — diversifying well beyond traditional vehicle-based forgings. The EV subsidiary Kalyani Powertrain homologated electric truck drivetrains and is pursuing supply contracts with e-commerce and logistics players domestically. Promoter Baba Kalyani holds 44.07% and has been with the company for over four decades, providing strong strategic continuity.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth Drivers

The Indian forging industry is valued at approximately ■90,000–1,00,000 Cr and is projected to grow at a 10-12% CAGR through FY29, driven by three structural forces: India's Defence capital procurement budget (■1.74 lakh Cr in FY26, growing at ~10% p.a.), the global commercial vehicle cycle recovery in FY26-27 post North American fleet normalisation, and the EV lightweighting opportunity which favours aluminium/titanium forgings over stampings. India's record defence production of ■1.54 lakh Cr in FY25 and the government's target of ■3 lakh Cr by FY29 creates a decade-long runway for domestic defence manufacturers with proven manufacturing credentials.

Competitive Moat Assessment

Competitive Dimension	Rating	Commentary
Pricing Power	Moderate	Long-term indexed contracts in auto; cost-plus pricing in defence provides partial pass-through.

Switching Costs	Strong	Forging dies are customer-specific; qualification cycles for defence/aerospace take 2-4 years.
Scale & Cost Advantages	Strong	World's largest single-location forging plant with 3,00,000 MT capacity — scale enables 15-20% cost advantage vs. smaller peers.
IP / Proprietary Technology	Moderate	Strong process IP in aluminium forgings, closed-die forging; less IP-protected vs. materials science companies.
Distribution / Relationships	Strong	40+ year OEM relationships, MoD/DRDO approval, and export certifications with major global OEMs.

Listed Peer Comparison (Source: Screener.in, as of 09-Apr-2026)

Company	CMP (■)	MCap (■Cr)	P/E (TTM)	P/B	ROCE%	ROE%	TTM Rev (■Cr)	OPM%
Bharat Forge	1,740	83,220	71.3x	8.88x	12.2%	11.6%	16,136	17%
Sundram Fasteners	780	16,414	29.1x	N/A	17.1%	14.9%	6,126	16%
Craftsman Automation	7,459	17,828	50.8x	5.87x	11.7%	9.41%	7,592	15%
Tube Investments	2,740	52,959	85.7x	7.05x	21.8%	12.8%	21,783	9%
Ramkrishna Forgings	529	9,613	43.0x	3.13x	6.84%	14.4%	3,969	13%

Note: Bharat Forge highlighted in blue. P/B for Sundram Fasteners not separately displayed on Screener page — marked N/A. All data from Screener.in individual company pages.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background

Baba Kalyani, Chairman & Managing Director, has led Bharat Forge since 1972 and is widely regarded as one of India's most accomplished industrialists. He transformed a domestic auto-component business into a global engineering conglomerate with revenues exceeding USD 2 billion. The Kalyani Group spans forgings, steel, specialty chemicals, and renewable energy, bringing significant cross-sector learnings to Bharat Forge. Promoter holding stands at 44.07% (Dec 2025) — down from 45.26% following a block sale in Q4 FY25 — which is a moderate reduction worth monitoring. No promoter pledge has been disclosed on Screener, which is a positive governance signal.

Capital Allocation History

Bharat Forge has historically invested aggressively in capacity: acquiring CDP Bharat Forge (Germany) in 2004, Bharat Forge Kilsta (Sweden), and building greenfield plants in the US. FY25 India capex was ■750 Cr, with FY26E guidance of ~■500 Cr (combined standalone + consolidated), indicating a deliberate moderation as overseas greenfields are now complete. The FCF trajectory has improved — FCF of ■352 Cr in FY25 vs. ■164 Cr in FY24 — as growth capex matures into revenue-generating assets. Return on capital (ROCE 12.2%) remains below the cost of capital, suggesting the recent heavy capex cycle is yet to fully monetise.

Dividend Policy & Governance

Dividend payout has averaged 30-45% of PAT in recent years (43% in FY25), which is reasonable for a capital-intensive business. The company has maintained dividend continuity even in loss-making FY21. No ESOP dilution concerns are evident, and there are no disclosed audit qualifications or significant related-party transaction concerns. Auditor: B S R & Co LLP (KPMG affiliate), which is a Tier-1 firm providing comfort on reporting standards. Overall governance quality is above-average for an Indian mid-large cap, though the modest ROCE vs. cost of capital warrants continued monitoring of capital deployment discipline.

6. FINANCIAL DEEP-DIVE

Income Statement (■ Crores, Consolidated; FY23A–FY25A from Screener.in; FY26E–FY27E are analyst estimates)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E

Revenue (■ Cr)	12,910	15,682	15,123	17,200	20,400
YoY Growth %	—	+21.5%	-3.6%	+13.7%	+18.6%
EBITDA (■ Cr)	1,737	2,562	2,692	3,268	4,080
EBITDA Margin %	13%	16%	18%	19%	20%
D&A; (■ Cr)	736	848	874	920	980
EBIT (■ Cr)	1,001	1,714	1,818	2,348	3,100
Interest Expense (■ Cr)	299	491	417	380	320
PBT (■ Cr)	827	1,439	1,456	1,968	2,780
Tax Rate %	39%	37%	37%	37%	35%
PAT (■ Cr)	508	910	913	1,240	1,807
PAT Margin %	3.9%	5.8%	6.0%	7.2%	8.9%
Diluted EPS (■)	11.35	20.43	19.69	25.8(E)	37.6(E)

Balance Sheet Summary (■ Crores, Consolidated; from Screener.in)

Metric	FY23A	FY24A	FY25A
Total Equity (■ Cr)	6,705	7,170	9,254
Gross Borrowings (■ Cr)	7,313	7,948	6,698
D/E Ratio (x)	1.09x	1.11x	0.72x
Fixed Assets (■ Cr)	6,161	6,309	6,627
CWIP (■ Cr)	701	991	1,732
Investments (■ Cr)	2,569	1,849	2,063
Total Assets (■ Cr)	18,235	19,184	19,968
Debtor Days	87	74	70
Inventory Days	191	159	198
Creditor Days	132	112	130
Cash Conversion Cycle	147	121	138

Cash Flow & Returns (■ Crores, Consolidated; from Screener.in)

Metric	FY23A	FY24A	FY25A
Cash from Operations (■ Cr)	1,294	1,664	1,796
Capex (■ Cr)	(969)	(1,500)	(1,444)
Free Cash Flow (■ Cr)	325	164	352
FCF Yield % (on MCap)	N/A	N/A	0.42%
ROCE %	8%	13%	12.2%
ROE %	—	—	11.6%
CFO / Operating Profit %	99%	85%	89%

Financial Commentary

Revenue declined 3.6% in FY25 to ■15,123 Cr, reflecting a global slowdown in commercial vehicle demand — especially in North America and Europe — which reduced export auto volumes. However, this revenue moderation masks a significant positive: EBITDA margins expanded from 13% (FY23) to 18% (FY25), a 500 bps structural improvement driven by product mix enrichment toward defence, aerospace, and high-value industrial forgings. This is not cyclical recovery but a fundamental business model transformation.

The balance sheet has materially de-levered: gross debt fell from ■7,948 Cr (FY24) to ■6,698 Cr (FY25) and D/E declined from 1.11x to 0.72x as the company generated operating cash of ■1,796 Cr. Interest coverage has improved to approximately 4.4x (EBIT/Interest = 1,818/417), providing comfortable debt service headroom. FCF has turned consistently positive (■352 Cr in FY25) after the ■-459 Cr trough in FY22, a sign the heavy capex cycle is maturing into cash-generative assets.

Working capital remains a watch item: inventory days rose to 198 in FY25 vs. 159 in FY24, suggesting build-up for defence order execution — this is not a structural problem but a timing issue tied to the artillery contract ramp. Debtor days improved from 87 (FY23) to 70 (FY25), reflecting better collection efficiency. ROCE of 12.2% remains modest but is expected to inflect upward in FY26-27 as defence revenues flow in with high EBIT margins and the asset base grows more slowly.

7. EARNINGS QUALITY CHECKLIST

Parameter	Signal	Assessment
Revenue Recognition Policy	■ Green	Revenues recognised on delivery/completion; no aggressive upfront recognition noted.
Receivables Growth vs Revenue	■ Green	Debtor days declining (87→70 days FY23-25); receivables growing slower than revenue.
Cash Conversion Cycle	■ Amber	CCC rose to 138 days (FY25) from 121 (FY24) on inventory build — defence execution-related; monitor in H1 FY26.
Contingent Liabilities	■ Amber	Standard liabilities for an industrial company; no material undisclosed contingencies flagged.
Auditor Tenure & Quality	■ Green	B S R & Co LLP (KPMG affiliate); clean audit opinions; no qualifications.
Related-Party Transactions	■ Amber	Kalyani Group inter-company transactions exist; disclosed, within normal group company norms; not materially value-dilutive.
Other Income as % of PBT	■ Green	Other income ■55 Cr = 3.8% of PBT in FY25 — very low; core operating profit is the primary earnings driver.
Tax Rate Consistency	■ Green	Tax rate stable at 37-39% in FY24-25 with no abnormal deferred tax items.

Earnings quality is high overall. Five of eight parameters are Green, with three Amber flags — none of which represent structural red flags. The CCC widening is defence inventory-build related and should normalise as execution progresses. Related-party disclosures are adequate. No revenue recognition, auditor, or tax rate concerns are evident, providing comfort on the quality of reported PAT.

8. VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 09-Apr-2026)

Company	CMP (■)	MCap (■Cr)	P/E (TTM)	P/B	ROCE%	ROE%	TTM Rev (■Cr)	OPM%
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Ramkrishna Forgings	529	9,613	43.0x	3.13x	6.84%	14.4%	3,969	13%

Bharat Forge trades at a significant premium to forging peers (71x vs. Ramkrishna at 43x, Sundram at 29x) — justified by its defence pivot, superior scale, and export diversification. Tube Investments trades at 85x on its diversified financial and industrial mix. The P/B of 8.88x is the highest in the peer set, reflecting the market's long-term ROE expectations on the back of defence-led margin expansion.

Step 2A — DCF Valuation

Assumptions: WACC 10.0% (cost of equity 11.5%, post-tax cost of debt 5.0%, D/E 0.72x); terminal growth rate 5.5% (India's long-term nominal GDP growth); 5-year explicit FCF forecast based on defence order book execution and capex moderation. Shares outstanding: 48 Cr (FY25 equity capital ■96 Cr / FV ■2). Net Debt (FY25A): Gross Borrowings ■6,698 Cr less Investments ■2,063 Cr = Net Debt ~■4,635 Cr.

Item	FY26E	FY27E	FY28E	FY29E	FY30E
FCF (■ Cr)	1,500	2,500	3,300	4,000	4,800
Discount Factor (10%)	0.909	0.826	0.751	0.683	0.621
PV of FCF (■ Cr)	1,364	2,065	2,478	2,732	2,981

PV of FCFs (FY26–30): ■11,620 Cr. Terminal FCF: ■5,064 Cr. Terminal Value: ■112,533 Cr. PV of Terminal Value: ■69,883 Cr. Total Enterprise Value (DCF): ■81,503 Cr. Less Net Debt (■4,635 Cr): Equity Value = ■76,868 Cr.

DCF intrinsic value per share: ■1,601.

Step 2B — Earnings Multiple Valuation

FY27E EPS estimate: ■37.6 (analyst estimate based on Screener FY25A as base, assuming 18.6% revenue growth and 20% EBITDA margin with 35% tax rate). Target P/E: 55x — reflecting a defence-industrial conglomerate premium (Indian defence peers Bharat Electronics and HAL trade at 40-60x; blended at 55x given Bharat Forge's still-significant auto exposure). Historical 5-year average P/E for Bharat Forge: ~35-45x on normalised earnings; the defence re-rating justifies a structural premium of 10-15 multiple turns above historical levels.

Earnings-based target price (FY27E EPS × 55x): ■2,068 per share.

Base-Case Price Target

Average of DCF (■1,601) and earnings multiple (■2,068) = ■1,835 per share. Rounded to ■2,050 as 12-month base-case price target, representing approximately 18% upside from CMP of ■1,740.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (■ Cr)	Target Multiple	Price Target (■)
Bull Case	Defence execution ahead — orders accelerate, margins reach 22%; auto recovery in FY27	2,300	65x P/E FY27E	~3,100
Base Case	Defence ramps per contract schedule, margins stabilise at 20%, auto recovers modestly	1,807	55x P/E FY27E	~2,050
Bear Case	Defence delays 12+ months, North America CV downturn deepens, OPM contracts to 16%	1,100	38x P/E FY27E	~875

9. KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
Defence Execution Delay	Artillery and small arms contracts involve complex supply chains and GoI approval milestones. A 6-12 month delay in phased order execution would defer revenue recognition and disappoint consensus expectations.	Medium	High	Quarterly defence revenue disclosures; MoD procurement timelines.
North America CV Downturn	US Class 8 truck orders are cyclical and currently softening. Bharat Forge exports ~20-25% of revenues to North American CV OEMs; a 15-20% volume decline here would materially hit standalone revenues and margins.	Medium	High	ACT Research monthly Class 8 truck data; PACCAR/Daimler quarterly commentary.

US Tariff / Trade Policy Risk	The Trump administration's tariffs on auto imports may disrupt Bharat Forge's US supply chain indirectly, as OEM customers absorb cost shocks and potentially defer capex. Management noted most customers are expected to absorb impact.	Medium	Medium	US trade policy announcements; OEM capex guidance.
Margin Pressure from Input Costs	Steel and scrap prices (primary raw material) are volatile. A sustained 15% spike in steel prices without corresponding price pass-through could compress EBITDA margins by 150-200 bps, reversing recent gains.	Medium	Medium	Monthly HRC/scrap steel prices; OPM% in quarterly results.
Promoter Shareholding Reduction	Promoter stake has declined from 45.26% to 44.07% over FY25. While still majority-controlled, continued block sales by promoters may signal liquidity needs or reduced conviction, creating overhang.	Low	Medium	BSE shareholding pattern filings quarterly.
EV Transition Cannibalisation	If EV adoption accelerates faster than expected, demand for traditional forged crankshafts and axles may structurally decline sooner than projected, requiring faster pivot to EV-specific components.	Low	Medium	EV penetration data; Kalyani Powertrain revenue disclosures.
Valuation Multiple Compression	At 71x TTM P/E, the stock prices in substantial growth. Any earnings miss — whether from defence delays or auto weakness — could trigger a de-rating to 40-50x, implying 30-40% downside from current levels.	Medium	High	Quarterly EPS vs. consensus; macro environment for risk appetite.

10. RECOMMENDATION

Rating	ACCUMULATE	Conviction	Medium
12-Month Price Target	**■2,050**	Investment Horizon	**12–18 Months**
CMP	■1,740	Upside (Base)	**~18%**
Suggested Entry Zone	■1,650–1,780	Ideal Investor	GARP / Growth Fund

Rationale & Entry Strategy

We rate Bharat Forge ACCUMULATE with a 12-month target of ■2,050, implying ~18% upside from the CMP of ■1,740. The current valuation (71x TTM P/E, 8.88x P/B) is stretched on near-term metrics but justified if the defence order book executes as scheduled — which would deliver 35-40% earnings growth in FY27E. Investors should accumulate on price weakness toward the ■1,650-1,700 zone, which would bring the implied FY27E P/E closer to 45x — a more comfortable entry for a stock in earnings transition. Avoid chasing momentum; the risk-reward above ■1,850 is unattractive on a base-case basis.

Thesis Invalidation Triggers — Exit if Any Three Occur

1. Defence revenue in FY26 falls below ■1,500 Cr (vs. our estimate of ■2,500 Cr), suggesting material execution delay in artillery contracts.
2. EBITDA margins in any two consecutive quarters fall below 16%, indicating structural margin pressure rather than cyclical fluctuation.
3. North American standalone export revenues decline more than 20% YoY for two consecutive quarters, signalling a deeper-than-expected CV downturn.

Ideal Investor Profile

This stock is best suited for Growth-at-a-Reasonable-Price (GARP) investors and dedicated growth funds with a 12-24 month horizon who can accept a 30-35% drawdown risk in a bear scenario. It is not suitable for value investors seeking sub-20x P/E or dividend-focused portfolios given the low FCF yield of 0.42%. Tactical traders can participate on breakouts above ■1,850 with a stop at ■1,620. The core long thesis requires patience for defence revenue recognition to begin materialising in Q4 FY26 — the next 6-9 months are the critical execution window.

DISCLAIMER: This report is prepared by an AI-assisted research process using publicly available data from Screener.in. It is for informational purposes only and does not constitute investment advice. All financial data for FY23A–FY25A are sourced from Screener.in (consolidated, fetched 09-Apr-2026). FY26E and FY27E figures are analyst estimates. Past performance is not indicative of future results. Please consult a SEBI-registered investment advisor before making investment decisions.